

Globalisation and the Indian Economy (Set A) — MCQ Worksheet

Social Science — Economics • Chapter 4 • 25 Questions, 1 mark each — Total: 25 marks

Instructions: Choose the correct option (A / B / C / D) for each question. Each question carries 1 mark. There is no negative marking. Suggested time: 30 minutes.

Q1. Globalisation is the process of:

- (A) Increasing integration between countries through trade, investment, technology and people
- (B) Closure of borders
- (C) Banning trade
- (D) One world government

Q2. Companies that produce goods/services in more than one country are called:

- (A) Cooperatives
- (B) Multinational corporations (MNCs)
- (C) SHGs
- (D) NGOs

Q3. FDI stands for:

- (A) Foreign Direct Investment
- (B) Free Daily Income
- (C) Forex Domestic Inflow
- (D) Foreign Domestic Industry

Q4. India started its New Economic Policy (LPG reforms) in:

- (A) 1969
- (B) 1985
- (C) 1991
- (D) 2001

Q5. LPG in 1991 stood for:

- (A) Liquefied Petroleum Gas
- (B) Liberalisation, Privatisation, Globalisation
- (C) Local Production Group
- (D) Less Poverty Goal

Q6. Liberalisation in 1991 mainly removed:

- (A) Trade barriers and licence raj
- (B) Money
- (C) Roads
- (D) Schools

Q7. Tax on imports is called:

- (A) Tariff
- (B) Quota
- (C) Subsidy
- (D) Discount

Q8. Restrictions on amount of imports are:

- (A) Tariffs
- (B) Quotas
- (C) Subsidies
- (D) Reserves

Q9. Tariffs and quotas are also called:

- (A) Trade barriers
- (B) Sales offers
- (C) Price tags
- (D) Bonds

Q10. WTO stands for:

- (A) World Trade Organisation
- (B) World Treaty Office
- (C) Western Trade Office
- (D) World Tariff Organisation

Q11. WTO was set up in:

- (A) 1947
- (B) 1985
- (C) 1995
- (D) 2005

Q12. Earlier name of WTO/its predecessor was:

- (A) IMF
- (B) GATT
- (C) UN
- (D) NATO

Q13. Which of these is generally seen as benefits of globalisation in India?

- (A) More choice for consumers
- (B) Higher quality at competitive prices
- (C) More foreign investment
- (D) All of these

Q14. Which of these is a problem associated with globalisation?

- (A) Pressure on small producers
- (B) Job insecurity
- (C) Inequality
- (D) All of these

Q15. Cargill Foods, an MNC, took over which Indian company?

- (A) Britannia
- (B) Parakh Foods
- (C) Amul
- (D) Tata Steel

Q16. Outsourcing means:

- (A) Producing inside India only
- (B) Getting jobs/processes done from outside the company, often abroad
- (C) Foreign currency exchange
- (D) Closing factories

Q17. Bangalore (Bengaluru) became famous as a hub of:

- (A) Steel
- (B) BPO/IT outsourcing
- (C) Coffee export
- (D) Agriculture

Q18. Which is NOT a way MNCs spread production?

- (A) Setting up units
- (B) Buying local companies
- (C) Outsourcing/joint ventures
- (D) Banning trade

Q19. Globalisation has been facilitated by progress in:

- (A) Telecommunications, IT, faster transport
- (B) Population growth only
- (C) Soil conservation
- (D) Agriculture only

Q20. 'Fair globalisation' aims at:

- (A) Banning MNCs
- (B) Distributing benefits more equitably
- (C) Closing economy
- (D) Foreign control

Q21. Special Economic Zones (SEZs) provide:

- (A) Tax holidays and infrastructure to attract investment
- (B) High taxes
- (C) Restrictions
- (D) Defence

Q22. Indian consumers benefit from globalisation by getting:

- (A) More choice and better quality at competitive prices
- (B) Less choice
- (C) No food
- (D) Higher taxes only

Q23. Which of these has happened due to globalisation?

- (A) Foreign companies entering Indian markets
- (B) Indian companies going global
- (C) Movement of people for jobs
- (D) All of these

Q24. Indian software industry has gained substantially because:

- (A) English-speaking, skilled workforce
- (B) No demand abroad
- (C) India banned IT
- (D) Government banned MNCs

Q25. Globalisation often poses biggest threat to:

- (A) Small producers/workers in unorganised sector
- (B) Banks
- (C) Multinationals
- (D) Foreign banks